AOU
الجامعة العربية المفتوحة
Arab Open University

Faculty of Business Studies

FIN302
Portfolio Theory

Final Examination / Version: B
2025-2026 / Summer

3 – September – 2026

Number of Exam Pages: 3 (including this cover sheet)	Time Allowed: 2 hours

Instructions:

1- Take **FIVE (5)** minutes to read all instructions carefully before attempting to write.
2- Mobile phones must be in "SWITCHED **OFF**" mode throughout the examination.
3- This is a **CLOSED** book examination. NO documents of any kind are allowed.
- You **MUST** answer the questions using only the answer booklets provided
- You **MUST** return the examination paper together with your answer booklets.
- Do **NOT** write your answers in pencil except graphs/sketches
- Students are **NOT** allowed to use any type of dictionary or mobile phones during the examination
Students are allowed to use ***non-programmable*** calculators only (if needed).
Any form of cheating will **NOT** be tolerated and will subject you to AOU Cheating Policy.

الجامعة العربية المفتوحة - مصر
Arab Open University
القبول والتسجيل
الامتحانات
Arab Republic of Egypt

AOU EGYPT

CamScanner

Question 1: Choose the right answer for each of the following questions (25 marks; 5 marks per question)

1. Martin's Inc. is expected to pay annual dividends of $2.50 a share for the next three years. After that, dividends are expected to increase by 3% annually. What is the current value of this stock to you if you require a 9% rate of return on this investment?

A) $39.47
B) $40.11
C) $41.81
D) $42.92

2. An investor should purchase a stock when

A) the market price exceeds the intrinsic value.
B) the expected rate of return equals or exceeds the required return.
C) the capital gains rate is less than the required return and no dividends are paid.
D) the market price is greater than the justified price.

3. Heather believes that by carefully examining a company's fundamentals and by applying the best valuation models she can identify stocks whose market prices are lower than their intrinsic values. In order for this to be true

A) she needs an accurate estimate of future earnings and dividends.
B) some stocks must be incorrectly priced.
C) betas must be stable over time.
D) P/E ratios for both the stock and the market must be stable over time.

4. For a stock investment, the dividend yield is calculated by

A) dividing a stock's annual cash dividend by its price.
B) dividing a stock's price by its annual cash dividend.
C) multiplying a stock's semi-annual dividend by two.
D) dividing the annual change in the stock's price plus its annual dividend amount by the beginning of the year price.

5. NZMA stock is currently selling for $128. Which of the following options is "in-the-money"?

A) March 130 call
B) February 125 call
C) March 125 put
D) February 100 put

Question 2: Answer the following questions: (25 marks)

Contrast between dollar-cost and constant-dollar plans in the context of portfolio management (25 marks, 12.5 marks for each plan).

Question 3: Answer the following questions: (25 marks)

A. Explain the type of risk measured by each of the following measures. Also identify the factor in each formula that determines the type of risk that is being measured (9 marks).

1. Jensen's measure (3 marks).
2. Sharpe's measure (3 marks).
3. Treynor's measure (3 marks).

الجامعة العربية المفتوحة - مصر
Arab Open University
القبول والتسجيل
الامتحانات
Arab Republic of

POLICY EGYPT

CamScanner

B. Net asset values at the end of each month for the no-load Currier & Ives fund are shown below. Holly Tannenbaum invests $500 in the fund each month through an automatic investment plan.

Month	NAV end of month
July	12.85
August	11.08
September	9.99
October	9.85
November	13.55
December	12.21

Compute the following (16 marks):

1. The number of shares purchased each month (4 marks).
2. The number of shares she owns at the end of December (4 marks).
3. The average price of the shares over the period (4 marks).
4. The average price per share paid by Holly (4 marks).

Question 4: Answer the following questions: (25 marks)

A. Lew paid $300 to purchase a call on Delta stock with a strike price of $25. What does the market price of Delta have to be for Lew to break-even on his option investment? Ignore transaction costs and taxes (10 marks).

B. Steve bought 300 shares of stock at a price of $20 per share. The price of the stock then went up to $33 per share so Steve decided to hedge his position by purchasing 3 puts at a cost of $120 each. The puts have an exercise price of 30. One week prior to the expiration of the puts, the price of the stock was at $22 per share. If Steve closed out all of his positions at that time, what would be his he would net profit? (15 marks).

"End of Exam"

AOU EGYPT

الجامعة العربية المفتوحة - مصر
Arab Open University
القبول والتسجيل
الامتحانات
Arab Republic of

CamScanner